CHAPTER TWELVE

DEVELOPMENT PLANNING

Meaning of Development Planning

This is a deliberate plan on the part of the Government to accelerate the development in a given economy. Todaro (1982) described economic development planning as the conscious Governmental effort to influence, direct and in some cases, even control changes in the principal economic variables (Consumption, investment, savings, exports, imports) of a certain country or region over the course of time in order to achieve a predetermined set of objectives Planning varies from country to country due to differences in ideology and political setting.

In most of the developing countries where mixed economy system exists, planning is used to guide and coordinate public policies and to prescribe coherent production targets for the major sector of the economy.

DEVELOPMENT PLAN

This can be described as a specific set of quantitative and qualitative economic targets to be reached in a given period of time Economic plans may be either comprehensive or partial. The federal ministry of finance and economic development in Nigeria is responsible for the formulation of a development plan.

Comprehensive plan: This plan sets its targets to cover all major aspects of the national economy. It integrates the planning efforts of all levels of government.

Partial plan: This plan covers only a part of the national economy like agriculture, industry, etc.

Characteristics of Development Plan

There are some basic characteristics of comprehensive development plan that are common to most countries. The following have been identified as the characteristics of development plan:

1. Starting from the political views and goals of the Government, planning attempts to define policy objectives, especially as they relate to the future development of the economy.
2. A development plan set out a strategy by means of which it is intended to achieve the objectives, which are normally translated into specific targets.
3. The plan attempts to present a centrally coordinated, internally consistent set of principles and policies, chosen as the optimal means of implementing the strategy and achieving the targets and intended to be used as a framework to guide subsequent day-to-day decisions.
4. It comprehends the whole economy (hence it is comprehensive as against 'colonial' or public sector planning).
5. In order to secure optimality and consistency, the comprehensive plan employs a more-or-less formalized macro-economic model, and this is employed to project the intended future performance of the economy.
6. A development plan typically covers a period of, say, five years and finds physical expression as a medium-term plan document, which may, however, incorporate a longer-term perspective plan and be supplemented by annual plans.

Objectives of Development Planning

The main reasons for embarking on development planning in developed countries, especially West African countries, are as follows:

To ensure the efficient utilization of economic resources. A country with development plan resources can achieve a better allocation and efficient utilization of resources.

To increase the level of aggregate output. Development planning accelerate the rate of growth of the per capita income and improve the standard of living of the people of the given country.

To achieve equitable income distribution: It is usually a primary concern of development plans to achieve a more equitable or more even distribution of income by reducing the gap between the "haves" and the "have-nots".

To achieve full employment: Development planning will aid developing countries to reduce the rate of unemployment to the bearest minimum.

To bring some changes and adaptations in the socio-economic situation: Development planning brings positive changes and adaptations in the socio-economic situation.

To achieve a fairly stable general price level. Development planning in less developed countries seek to check incessant income increases in the cost of living via the curbing of the rate of inflation and at the same time preventing a potentially harmful rate of inflation.

To achieve balanced growth and development of the various sectoral units and geographical regions. In the development plan, coherent investment and production targets to be achieved in each sector of the economy are stated.

To diversify the economic activities: A reduction of dependence on crude oil in Nigeria for the sake of agriculture and industrialization involved realistic development plan, which cannot be brought about by market forces. Therefore, attempts are often made through planning to diversify economic or productive activities.

To prevent foreign control and international monopolists: In most of the developing countries (West Africa), many years after flag

...dence foreign companies still dominate their industrial and ...cial sectors. The nationalization or indigenisation of economic activities is a primary concern of development planning in these countries in order to ensure indigenous control.

NECESSARY CONDITIONS FOR A SUCCESSFUL DEVELOPMENT PLAN

These are a number of essential ingredients, which must be put in place for development planning to be successful in any given country. These essential ingredients are the factors that can also influence development planning. They include:

Planning Commission: This commission must be put in place comprising different experts in their field of specialties. They must be versatile and possess ability to deal with the various aspects of the economy.

Adequate Feasibility Study: This study will make for enough preparation and preparedness resulting from the foreknowledge provided by such studies. Feasibility studies will be able to identify potential areas of success and possible avenue for failure.

Availability of Resources: There is a need for adequate resources essentially capital funds that will be necessary to execute the programmes and projects contained in the plan. In this regard, it is suggested that both internal and external financial resources should be attracted.

Supply of Skilled Manpower: There should be adequate formal training and education of the labour forces especially those who will be directly connected with the various aspects of plan. This is necessary in the planning and execution of development projects.

Statistical Data: There should be adequate, accurate and reliable data for the development planners. There is need for relevant and accurate data on population, and national income so that the needs of the various segments of the population will be taken into consideration in formulating the plan.

Efficient administration: High level of discipline and commitments on the part of the public authorities are very essential. The levels of technical staff, administrative staff and managerial competence have to be very high.

Public Cooperation: Adequate education information and enlightment especially on the part of the members of the public to obtain their cooperation and adequate participation are equally necessary. This will enable the various segments of the population to appreciate the need for, and the importance of plan formulation and implementation.

Realistic Planning: Realistic planning is a necessary condition. Targets should be realistic, clear and flexible. Government should not formulate bogus plans to score political marks.

Political Stability: It is only a stable political system that could ensure continuity of planning. The government should not be commited to plan implementation in words only, but in action as well.

Arguments for Development Planning

Development planning is more popular in the developing countries where it is regarded as the best strategy for achieving a rapid economic growth and for bridging the gap between them and the advanced countries. In an attempt to justify this emphasis, some arguments are often advanced. The main arguments often employed are as follows:

Market Failure: As a result of underdeveloped nature of the markets in developing countries, the markets if left alone could not perform their functions. The forces of demand and supply could not alone determine market prices. The commodity and factor markets could be badly organized such that the various economics could not function effectively without some intervention by the central authorities in form of economic planning. Therefore, the market argument is one of the often-cited ones in justifying government intervention in the form of planning.

this involves that

Attitudinal and Psychological argument: It is the contention of a school of thought that a detailed statement of national economic and social goals and objectives in form of a development plan is an effective means of mobilising resources especially human beings. It is argued that the formulation of plans will create awareness on the part of the public and thus a positive attitude is likely to ensue.

Foreign aid argument: The formulation of development plans by developing countries is a potent means of obtaining or attracting bilateral and multilateral foreign aid. Planning creates an impression of seriousness on the part of the potential recipient of assistance and gives the donors confidence that such an assistance will be judiciously utilized on productive projects.

Resource Distribution and utilization argument: One of the weaknesses of price mechanism is that it aggravates inequalities of income and wealth because goods and services are produced in response to effective demand. It is thus argued that, if the market forces are left alone (i.e. If there is no intervention in allocation of resources through planning), resources may be concentrated on the unproductive activities at the expense of productive activities. The public (Social) interest should not be sacrificed for private (personal) interest.

Prevention of monopolistic situation This argument contends that without planning, a free market system in a developing country like Nigeria is capable of assisting large firms to swallow the other firms; thus acquiring a monopoly power that could lead to a very high prices, poor quality of output, etc.

Economic Development argument: The argument is that the rather slow development process pace in developing countries can only be hastened through a conscious setting of objectives and targets (development plan).

The development plans in developing countries such as Nigeria, have often achieved a low rate of success due to some problems militating against them The problems include:

Inadequate data: The necessary data and information to base planning on are often lacking in less developed countries For instance, population figure of our national plan is based on faulty population figures

Inadequate Capital: Good development plans not supported with adequate fund will not achieve the desired goals. Inability to realize the anticipated fund that will be used in executing the plans render their execution faulty.

Political Instability: Incessant change in leadership through non-peaceful procedure has been another major problem of development planning. This does not give the planners enough chance to execute their development plans before they are removed from office

Lack of Political Will: Absence of national interest in the heart of our leaders has reduced development planning to a mere formality Many are not nationally committed but rather pursue their own personal gain.

Unrealistic Plan: Many developing countries formulate bogus plan to score political marks. Some of their development plans are characterised with over-ambitions, misplacement of priorities and too many objectives. If the resources available to a country are not adequate to achieve planned targets, the particular plan is doomed even before the process of implementation begins

Financing of Development Plan

In most of the developing countries, development plans are financed with both domestic and external sources. Domestic sources include:

(i) Revenue accruing from recurrent budget surpluses
(ii) Domestic borrowing from banks, capital markets, etc.
(iii) Drawing down foreign reserves
(iv) Domestic savings.

External sources include:

(i) Loans from international capital market, institutions like IMF, World Bank, etc.
(ii) Foreign aids.
(iii) Grants.

Causes of the failure of development plans

1. Deficiencies in the formulation of plan and its implementation.
2. Problems of priorities and mismatching of resources.
3. Lack of reliable statistical data.
4. Too much importance given to financial planning and too little importance to physical planning.
5. Inefficient Government and weakness of economic institution.
6. Lack of cooperation from people.
7. Frequent changes of Government and political instability.

The Role of the National Planning Commission in National Planning for Development

The National Planning Commission was established under the provisions of the National Planning Commission Decree 1992 No 12.

Objectives of the Commission

The objectives of the Commission as listed under section 2 of the Decree are as follows:

(a) To determine and advise on policies that will best promote national unity and integration and sustain the Nigerian nation;
(b) To ensure social justice and human welfare at all levels of the Nigerian society.
(c) To focus on key national development issues and suggest ways for their efficient resolution;
(d) To determine how best the fundamental objectives and directive principles of State Policy contained in the Constitution of the Federal Republic of Nigeria, as amended, can achieve the major objectives of optimal development and suggest amendments that may be required, from time to time, to achieve those objectives in the light of encountered realities;
(e) To provide a national focal point for the coordination and formulation of national policies and programmes;
(f) To draw up, from time to time, national economic priorities and programmes and map out implementation strategies;
(g) To co-ordinate the formulation and implementation of Government programmes as contained in the annual plans, budgets, medium-term and perspective plan at the Federal, State and Local Government levels.
(h) To enhance the efficiency of public sector spending and general national economy globally;
(i) To continuously visualize the international economic system in target horizons and identify the activities likely to become dominant or strategic globally;

Functions of the Commission

The functions of the Commission are set out under section 4 of the Decree. They are as follows:

(a) To provide policy advice to the President, Commander-in-Chief of the Armed Forces in particular, and Nigeria in general on all spheres of national life;

(b) To set national priorities and goals and engender consensus among government agencies, corporate bodies and workers' unions in support and accomplishment of such priorities and goals as may be contained in guidelines issued by the commission from time to time.

(c) To undertake periodic review and appraisal of human and material resources capabilities of Nigeria with a view to advancing their development and efficiency and effective utilization;

(d) To formulate and prepare long-term, medium-term and short-term national development plans and to co-ordinate such plans at the Federal, State and Local Government levels.

(e) To monitor projects and progress relating to plan implementation.

(f) To advise on changes and adjustments in institutions and management techniques as well as attitudes necessary for the alignment of action with plans targets and goals;

(g) To conduct research into various aspects of national interest and public policy and ensure that the implications and results of the findings in such research are geared towards the enhancement of national economic, social, technological, defence, and security capabilities and management;

(h) To mobilize popular group and institutional consensus in support of Government policies and programmes;

(i) To prepare and control the capital budget and set broad guidelines for the recurrent budget;

(j) To manage multilateral and bilateral economic co-operation, including development aid and technical assistance programmes;

(k) To deal with matters relating to regional economic co-operation, including the economic community of West African States, the African Common Market the United nations Economic Commission for West Africa and the South-South Cooperation; and

(l) To carry out such other activities as are necessary or expedient for the full discharge of all or any of the functions conferred on the commission under this Decree.

The President himself is the Chairman of the Commission. Other members include:

(1) The Vice President as alternate Chairman

(2) The Deputy Chairman of the Commission.

(3) Federal Ministers of Finance, Petroleum and Mineral Resources, Agriculture, Water Resources and Rural Development, Industry and Technology

(4) The Governor of the Central Bank.

(5) State, and Local Government Representatives

(6) Representatives of Labour and Employers Associations

PLANNING IN NIGERIA

The history of development planning in Nigeria can be traced back to 1944. The following are some national development plans

1. A ten-year plan of development and welfare 1946-1956

This plan was to develop Nigeria both economically and socially. The funds came from both colonial masters and from Nigerian revenue. Major schemes were: road development; improved water communication and marine activities; building programmes, etc.

The economic Programme of the Government of the Federal Republic of Nigeria 1955-1960

The main objectives were:

(i) The provision of a countrywide system of communication network.

(ii) The provision of funds for educational development

(iii) Provision of public services and utilities. Later on the plan was raised and extended to 1962.

The First National Development Plan (1962 – 68). The major objectives were:

(i) To raise the growth rate of gross domestic from 3.9% per annum to 4 per cent.

(ii) Achieve this through the investment of 15% of the GDP each year.

(iii) Creation of more employment

(iv) Modernization of agriculture

(v) Creation of more managerial opportunities

The Second National Development plan (1970-74). The objectives of the plan were

(i) A united, strong and self-reliant nation

(ii) A just and egalitarian society and a free and democratic society.

Third National Development Plan (1975-80) objectives include:

(i) The rapid growth in per capital income which was expected to increase on the average by 6.5%

(ii) More even distribution of income

(iii) Adequate supply of all categories of manpower required for sustained economic growth.

(iv) Inadequate economic activity.

6. The Fourth National Development plan.

The fourth national development plan (1981-1985) was launched on the 12th of January 1981. The objectives of this plan were not different from third national development plan.

Objectives

(i) Development of technology.

(ii) Reduction in rural-urban migration.

(iii) Increased productivity and reduction in the level of under-employment.

(iv) To solve the problem of balance of payment.

(v) Greater self-reliance.

(vi) Equal distribution of income.

7. The Fifth National development plan (1986-90)

The fifth national development plan 1986-90 has the same objective with the previous development plan

The 1991-994 National Rolling Plan

The essence of this plan was just to develop iron and steel in the country so as to reduce the importation of building materials. Other objective was to increase revenue and employment.

The 1995-1997 National Rolling Plan

The three-year rolling strategy entered a new cycle with the 1995 budget. In the rolling plan, resources will be allocated to ensure that targeted capital projects are completed within the planned period

National Rolling Plan

In a rolling plan, three new plans are made and acted upon yearly. First, there is a plan for the current year, which includes the annual budget and the foreign exchange budget.

Second, there is a plan for a number of years, say three, four or five. It is changed every year in keeping with the requirements of the economy.

Third, a perspective plan for 10, 15 or 20 or even more years is presented every year in which the broader goals are stated and the outlines of future development are forecast.

In the mid-seventies, the Nigeria's economy witnessed a substantial inflow of resources through oil exports, which led the Government to embark on the implementation of gigantic development programmes, designed to accelerate the pace of development and growth. Overtime, the economy became too dependent on resources from oil and imports that several areas and policies that would ensure the medium to long-term viability of the economy were neglected. There emerged several structural defects, which surfaced as the oil fortunes dwindled. When the oil market began to get weakened and volatile in the early eighties, public expenditure, general consumption and production patterns failed to respond immediately to the shortfalls in earnings, thereby creating a sizeable external and fiscal deficits. The instability of the oil market and its impact on resources made the short and medium term resources forecasts rather difficult.

For example:

Given the generally volatile nature of the international oil market, it is difficult to make a realistic resource forecast over a five year medium term period in a monoculture economy based on crude petroleum;

Under the highly dynamic international economic environment of the 1980's and the unexpected uncertainties of the 1990s.

development plans that are of shorter duration would have greater relevance as they would readily adjust to short term changes; and

(iii) Given the wide divergence between the aspirations of our past medium term development plans and actual achievements, it is more appropriate to put in place plans that are subject to periodic review instead of once-for-all five-year development plans.

It was, in part, to provide under considerable uncertainties that the Government decided to abandon the previous 5-years fixed term plan in favour of perspective planning and the rolling 3-year plan. The first three-year Rolling plan covered the period 1990 to 1992 and was expected to forge a closer link with the annual budget, compared to the previous medium plans. In this regard, the annual budget for 1990 constituted the first year of the Rolling Plan. This was reviewed and 'rolled over' to the following three-year period of 1991 – 1993 by the end of December 1990. Specifically, the three-year rolling plan was expected to include the following key elements:

(i) A defined set of objectives, policies and goals;

(ii) Resource forecasts for the medium term period of 3 years;

(iii) Projection of recurrent expenditures for the period with provision for projects that were likely to be completed and would require recurrent expenditures to operate;

(iv) Details of public sector capital programmes for the three years;

(v) An indicative plan for the private sector.

Objectives of the Rolling Plan

Given the nation's past planning experience and the challenge to face the economy, the key objectives of the Three Year Rolling Plan included:

(i) Improving the efficiency of public sector investment.

(ii) Carefully programming the execution of several on-going and abandoned projects that proved viable.

(iii) Achievement of higher levels of self-sufficiency in the production of food and other agro-based raw materials.

(iv) Laying a durable foundation for industrialization as key to self sustaining and dynamic growth;

(v) Further enlarging the role of the private sector in all sectors of the economy;

(vi) Consolidation of the gains of the SAP;

(vii) Improving the standard of living of the masses;

(viii) Curbing the high incidence of unemployment.

Priority Programmes of the Rolling Plan

In order to achieve the above objectives, the three-year rolling plan placed emphasis on the following programmes and projects:

(i) Integrated rural development, including the agricultural Development Programmes in all the States of the Federation, the programmes of the River Basin Development Authorities and rural access roads;

(ii) Provision of basic infrastructures including roads, mass transportation facilities, power supply, and portable water supply;

(iii) Completion of on-going basic industries and the strengthening of existing ones;

(iv) Development of small-scale industries;

(v) Completion of on-going programmes in the health and education sectors and rehabilitation of existing facilities;

(vi) Implementation of the programmes of the National Directorate of Employment.

Strategy of the Rolling Plan

The priority Programmes enumerated above have largely taken a clue from the Structural Adjustment Programme (SAP). The strategy of the Rolling Plan would therefore focus on consolidating the achievements that have been made so far in this regard. A major aspect of the SAP was the creation of the appropriate policy environment that would promote the growth of the direct production sectors of the economy, i.e. agriculture and industrial sectors through effective mobilisation of the available development resources, promotion of in-flow of foreign investment and efficiency in resource allocation through a pricing system that responds appropriately to market signals. The policy of deregulation of agricultural prices, which Government initiated, started to yield positive impact in terms of increased agricultural production while the re-alignment of the external value of the Naira in line with market forces had not only yielded the division of better resource allocation in the industrial sector, but also enhanced the prospects for export promotion. These policies would therefore continue to be pushed under the rolling plans.

Perspective Plan

Definitions:

A perspective plan is a blue print of developments to be undertaken over a longer period.

Perspective planning is a long-term planning in which long targets or objectives are set in advance for a period of 15, 20 or 25 years. However, the perspective plan which is divided into several short-period plans of four, five or six years in order to achieve the objective plan is always split up into short-term plan, which reflects the long-term targets.

REVIEW QUESTIONS

1. State and discuss three main activities involved in the formulation of fiscal policy.
2. Explain the roles of the Federal Ministry of Finance (FMF), the Federal Office of Statistics (FOS), the Central Bank of Nigeria (CBN), and the National Planning Commission (NPC) in the formulation of the governments fiscal policy.
3. Name and explain at least four objectives in designing and implementing fiscal policy.
4. Fiscal policy may be expansionary or contractionary. Explain.
5. Fiscal policy can work to stimulate the growth of the economy or to restrain it. Discuss briefly.

CHAPTER 3

FISCAL FEDERALISM

In the discussions so far, we have behaved as if there is only one government in the country. We have talked about government revenue and government spending as if it is only one government that spends money. But, as you know, we operate a federal system of government in Nigeria—a system in which there are levels or tiers of government each of which generates and spends money. We have the federal, the state, and the local governments, and each of these has power to raise and spend money.

For a system of government such as ours, it is necessary to make some arrangement by which it is clear how each tier of government is to raise money (revenue) and on what it is expected to spend that money. This arrangement is commonly referred to as fiscal federalism. Thus, fiscal federalism may be defined simply as the sharing of the revenue generating and spending functions in a federal system of government, i.e., the sharing of the fiscal functions of government among the tiers of government in the country.

Fiscal federalism plays a very important part in national economic management. It affects the political environment, i.e., whether or not there will be political stability (which is important for economic activities), and it affects the pace of overall development of the economy and society. For these reasons, matters pertaining to fiscal federalism are usually specified in the country's constitution.

Evolution of Fiscal Federalism in Nigeria[1]

The practice of fiscal federalism is provided for in each of the constitutions that has been adopted in Nigeria since independence in 1960. To guide the decisions - decisions concerning the sharing of